

like market forces, interest rate variables or even personal constraints. We are now going to deal with real numbers and your money.

Given below are the eight steps to financial freedom. These steps are arranged in a specific sequence, which you must follow. Do not jump the gun. Believe me, there is no short cut. Create your plan as you read. Whenever you are confused or stuck, you can always get help by going through some of the previous sections to understand the concept once again, or writing to us.

Since you have reached this chapter of the book, I am assured that you are very serious about your personal financial freedom. I would encourage you to prepare your plan as you read through various steps.

Come, pick up your pen, paper, laptop and start building the most important plan of your life. I will walk with you on each of these steps and share with you my experiences and learning as I went about the journey of becoming a "financially free" man. I will help you create your plan.

Eight Steps to Financial Freedom Planning

Step 1: Establish your Cash Flow

Calculate your cash inflow (what you get every month) and outflow (what you spend every month).

Step 2 : Identify your Assets, Liabilities and Net Worth^{~50}

Calculate your Net Worth as of now, counting all possible assets and liabilities.

Step 3 : Create a High Level Financial Freedom Plan

Identify your Special Life Events, estimate and assess the size of your nest egg, which will be adequate to sustain your expenses and taxes, as well as